INSOLVENCY ACT, 2063 (2006)

Act No. 20 of the year 2063

(Unofficial Translation)

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	Act amending this Act:	
1	Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080	2080.12.30

An Act Made to Provide for Insolvency Procedure

Preamble: Whereas, it is expedient to make immediate legal provisions relating to the administration of companies which have become or are about to become insolvent by failing to pay the debts of creditors or which are facing financial difficulty, insolvency procedure and the restructuring of such companies;

Now, therefore, the House of Representatives has enacted this Act in the first year of the issuance of the Proclamation of the House of Representatives, 2063.

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Chapter-1
Preliminary

1. Short title and commencement:–

(1) This Act may be called the "Insolvency Act, 2063".

(2) This Act shall come into force immediately.

2. Definitions:–

Unless the subject or context otherwise requires, in this Act,-

(a) "Company" means a company incorporated under the prevailing company law, and this term also includes any other corporate body with limited liability specified by the Nepal Government by publishing a notice in the Nepal Gazette.

(b) "Insolvent" means a situation where a company has failed or appears unable to pay any or all of the debts due to be paid to a creditor or to be paid in the future, or where the amount of the liabilities of the company exceeds the value of its assets.

(c) "Financial difficulty" means a situation where a company becomes or may become insolvent immediately or in the near future if it is not restructured under this Act.

(d) "Liquidation of company" means a situation where the registration of a company has been cancelled upon completing the process under this Act.

(e) "Restructuring" means the process adopted under this Act to restructure a company which may become insolvent by reason of financial difficulty.

(f) "Restructuring programme" means the restructuring programme as provided in Chapter-4.

(g) "Court" means the commercial bench of the court specified by the Nepal Government, in consultation with the Supreme Court, by publishing a notice in the Nepal Gazette.

(h) "Debt" means a definite amount which is due to be paid immediately or which is claimed to be payable.

(i) "Creditor" means a person who has the right to receive payment from a company which is insolvent or may become insolvent, and this term also includes a secured creditor.

(j) "Security" means any or all property kept by way of pledge, mortgage or any other kind of security for a debt.

(k) "Secured creditor" means a creditor who has lent a debt to a company by obtaining a security.

(l) "Company under liquidation" means a situation where an order has been issued for the liquidation of a company under this Act.

(m) "Office" means the Insolvency Administration Office established under Section 65.

(n) "Insolvency practitioner" means a person who has obtained a licence under Section 64 to carry on insolvency practice.

(o) "Inquiry officer" means the inquiry officer appointed under Section 10.

(p) "Restructuring manager" means a person appointed by an order of the Court under sub-section (2) of Section 22 to operate and manage the restructuring programme of a company.

(q) "Liquidator" means a person appointed by an order of the Court or under a resolution passed by the meeting of creditors to carry out the acts and proceedings of liquidating a company, and this term also includes the Office.

(r) "Related person" means a director, officer or shareholder of an insolvent company, or a director, officer or shareholder of the holding company or subsidiary company of such company, and this term also includes the husband, wife, son, daughter, adopted son, adopted daughter, father, mother, step-mother, elder brother, younger brother, elder sister and younger sister of a director, officer or shareholder of such company or of the holding company or subsidiary company of such company.

(s) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules framed under this Act.

Chapter-2
Insolvency Proceedings

3. Prohibition on commencing insolvency proceedings without order of Court:–

Except where an order has been made by the Court under this Act, no one shall commence insolvency proceedings against any company.

4. Application to be made for insolvency proceedings:–

(1) If insolvency proceedings are to be initiated against any company, any of the following persons may make an application to the Court in the prescribed format in order to proceed with such proceedings:-

(a) The insolvent company itself,

(b) A creditor or creditors who have lent at least ten percent of the debt out of the total creditors of the insolvent company,

(c) A shareholder or shareholders holding at least five percent of the shares out of the total shareholders of the company,

(d) A debenture-holder or debenture-holders holding at least five percent of the debentures out of the total debenture-holders of the company,

(e) The liquidator appointed to liquidate the company, or

(f) In the case of a company carrying on any particular kind of business referred to in Section 8, the body authorized to administer and regulate such business.

(2) For making an application under sub-section (1), thirty-five days must have elapsed since the notice issued under Section 5 for the payment of debt was duly served on the concerned company.

(3) While making an application under sub-section (1), the applicant shall attach the reason for making the application, a brief description of the financial position of the company and evidence substantiating that the company has become insolvent, and shall also submit the following details while making such application:-

(a) If such application is made by the insolvent company itself:-

(1) A document certified by the board of directors of the company stating that the company has become insolvent,

(2) A special resolution passed by the board of directors of the company for carrying out insolvency proceedings under this Act, and

(3) A certified copy of the balance sheet of the company and the auditor's report available at the time of making the application for insolvency proceedings.

(b) If the application is made by a creditor of the insolvent company:-

(1) Details of the amount of principal and interest of the debt claimed by the creditor to be due for payment from the company,

(2) The date on which the company took the debt claimed by the creditor, together with the reason for taking such debt,

(3) Details showing that the amount referred to in sub-clause (1) is outstanding and that such amount is immediately payable,

(4) The creditor's belief that the company against which insolvency proceedings are sought has become insolvent, and the reasons and grounds for such belief.

(c) If the application is made by a liquidator:-

(1) Evidence that the company against which the application for insolvency proceedings is made has appointed a liquidator for the purpose of liquidating the company, and

(2) The opinion expressed by the liquidator as to the company against which the application for insolvency proceedings is made having become insolvent, and the grounds thereof.

(4) Notwithstanding anything contained elsewhere in this Section, a shareholder or debenture-holder of a company shall, while making an application for insolvency

proceedings under clause (c) or (d) of sub-section (1), obtain the permission of the Court, and if such permission is obtained, he or she may make the application on the conditions specified by the Court.

(5) The Court shall not give permission under sub-section (4) unless sufficient evidence proving that the company has become insolvent is submitted.

5. Notice to be given for payment of debt:–

(1) Before making an application to the Court under Section 4 for insolvency proceedings, a notice issued for the payment of debt in the prescribed format shall be sent to the registered office of the company.

(2) The notice referred to in sub-section (1) shall be signed by the creditor himself or herself or by a person authorized by him or her on his or her behalf.

6. Application may be made to void notice issued for payment of debt:–

(1) If the notice received under Section 5 is not reasonable, or if the debt is not required to be paid immediately for any other reason, the concerned company may make an application to the Court to void such notice within thirty-five days from the date of receipt of such notice.

(2) If an application is received under sub-section (1), the Court shall issue a notice to the creditor who gave the notice under Section 5 to appear before the Court within seven days, and a copy of such application shall also be attached while issuing such notice.

(3) The Court may decide whether or not to void the notice issued under Section 5 within seven days from the date on which the creditor appears pursuant to sub-section (2), or, if he or she does not appear, from the date of expiry of the time limit for appearing before the Court.

(4) The Court may order the voiding of the notice issued under Section 5 in the following circumstances:-

(a) If there appears to be a clear dispute as to whether or not the creditor has lent the debt to the company, or

(b) If the debt remaining to be paid by the company to the creditor does not appear to be immediately payable.

(5) If the Court has made an order under sub-section (4), no notice for payment of debt may again be given to the company, nor may an application be made for insolvency proceedings, on the same matter so long as the circumstance referred to in that sub-section continues to exist.

(6) If the Court does not issue an order under sub-section (4), the company shall pay the debt of the creditor within thirty-five days from that date.

7. Company deemed to have become insolvent:–

(1) Except where otherwise proved, a company shall be deemed to have become insolvent in the following circumstances:-

(a) If the general meeting of shareholders passes a special resolution that the company has become insolvent, or the meeting of the board of directors of the company makes such a decision,

(b) If the Court has ordered the company to pay a debt and the debt is not paid as per such order within thirty-five days from the date of receipt of such order by the company, or

(c) If the company does not pay the debt within thirty-five days of the service of the notice issued by a creditor to the company for payment of debt, or does not make an application to the Court within the same period to void such notice.

(2) Nothing contained in this Section shall prevent it from being established that a company has become insolvent if it is proved by any other matter that the liabilities of the company exceed the value of its assets, or if the company itself admits that it has become insolvent.

8. Application not to be made for insolvency proceedings:–

(1) Notwithstanding anything contained in Section 4, no application may be made to the Court for insolvency proceedings in respect of the following companies without obtaining the prior approval of the following authorities:-

(a) In the case of a bank or financial institution carrying on banking and financial transactions, of the Nepal Rastra Bank,

(b) In the case of an insurance company carrying on insurance business, of the Insurance Board constituted under the Insurance Act, 2049, or

(c) In the case of a company, other than those referred to in clause (a) or (b), which cannot be voluntarily liquidated without the approval of the body or authority empowered under the prevailing law, of such authority.

(2) While making an application for insolvency proceedings in respect of the companies referred to in sub-section (1), a copy of the approval given for that purpose by the authority referred to in that sub-section shall be submitted along with the application.

9. Action on application:–

(1) If an application is received under Section 4 for carrying out or causing to be carried out insolvency proceedings in respect of any company, the Court shall, if such application has been duly submitted under this Act, register it and fix a date for hearing thereon within fifteen days.

(2) Except where the company itself has made an application for insolvency proceedings, after the registration of the application under sub-section (1), a notice shall be issued in

the name of the concerned company to submit a written statement within seven days if there is any reason why such proceedings should not be carried out, and such notice shall be served at the registered office of such company.

(3) If the Court deems appropriate, it may, before the hearing on the application under this Section, order the authority referred to in sub-section (1) of Section 8, as required, to submit to the Court, before the date fixed for the hearing, the details of any reason why any action should not be taken as demanded by the applicant, and the information thereof shall be published at least twice in any national level daily newspaper so that the shareholders and creditors of the concerned company, or other persons having transactions with the concerned company, or, if such company is listed in a securities market, the concerned securities market, can also receive it.

(4) If the company or person receiving the notice issued or published under sub-section (2) or (3) has any reason why the insolvency proceedings of the concerned company should not be carried out, it or he or she shall submit the details thereof in writing, along with the grounds therefor, within the time limit specified by the Court.

10. Decision to be made by continuing hearing:–

(1) Notwithstanding anything contained in the prevailing law, once the hearing commences on the day fixed for the hearing of an application received under this Chapter, the Court shall continue the hearing until its final disposal and make a decision.

Provided that this provision shall not prevent the hearing on that matter from being continued on the day the Court is open, if the hearing could not be completed or the decision could not be made on the day of the hearing due to lack of time.

(2) After the completion of the hearing under sub-section (1), the Court shall make an order as to whether or not to commence insolvency proceedings in respect of the company.

(3) While making an order under sub-section (2), the Court shall make an order to appoint an insolvency practitioner as the inquiry officer for the purpose of inquiry into the insolvency.

(4) While appointing the inquiry officer under sub-section (3), the Court shall appoint the person whom it deems suitable from amongst the persons whose names are included in the list approved by the Office for that purpose.

11. Power to issue interim order:–

(1) If, at the time of the hearing on an application made to the Court under Section 4, it appears that any of the following circumstances that may adversely affect the interests of the creditors or other persons having transactions with the company exists in the company, the Court may, on the application of the interested party or on its own discretion, issue an interim order:-

(a) If the assets of the company have been sold wrongfully or there is a possibility of their being so sold,

(b) If the management of the company has not been operated properly,

(c) If any legal action or the execution of such action that adversely affects the assets of the company is about to take place or may take place.

(2) While issuing an interim order under sub-section (1), the Court may issue an order not to do all or any of the following:-

(a) Transfer or sell any of the assets of the company, or pledge or mortgage them in any manner, except in the course of the business normally carried on by the company,

(b) Transfer the shares of the company in any manner, or change the status of the shareholders of the company in any manner,

(c) Withhold or take possession of any property of the company by anyone, or

(d) Commence or continue any legal action, or take any action or possession, by any creditor or person against the assets of the company or any assets owned or enjoyed by, or in the possession of, the company.

(3) If the Court has made an order under sub-section (2), information thereof shall be given to the concerned company, the Company Registrar and the Office, and the Court may, if it deems appropriate, also order its publication in a national level daily newspaper so that the general public may be informed.

(4) If the Court deems necessary, it may make an order to appoint a suitable person as the interim administrator of the company for the interim management of the company, to remain in office throughout the period during which the interim order remains in force.

(5) The functions, duties and powers of the interim administrator appointed under sub-section (4) shall be as specified by the Court at the time of such appointment.

(6) Notwithstanding anything contained elsewhere in this Section, if the Court has made an order for inquiry into insolvency proceedings or has quashed the application, the interim order made under this Section shall automatically become inoperative.

12. Application not to be withdrawn:–

Notwithstanding anything contained in the prevailing law, an application made to the Court under Section 4 for insolvency proceedings may not be withdrawn except where the Court grants permission.

Chapter-3
Inquiry into Insolvency Proceedings

13. Inquiry into insolvency proceedings:–

(1) If the Court has made an order under sub-section (3) of Section 10 to inquire into insolvency proceedings, the inquiry officer shall independently inquire into the financial position of the concerned company in order to determine the following matters:-

(a) Whether or not an order should be issued to liquidate the company immediately, as its financial position cannot be improved,

(b) Whether or not the inquiry period under Section 14 should be extended,

(c) Whether or not an order should be issued to restructure the company through a restructuring programme,

(d) Whether or not the company has already become insolvent or there is a possibility of its becoming insolvent immediately.

(2) The inquiry officer shall, after making the inquiry under sub-section (1), submit the inquiry report to the Court within the time period specified by the Court, and such report shall, in addition to other matters, set out any resolution passed by the meeting of creditors, if any, the proposal of the company and the evaluation made and recommendations given by him or her.

14. Power to extend period of inquiry into insolvency proceedings:–

(1) If the inquiry officer makes an application to the Court to extend the inquiry period specified under sub-section (2) of Section 13, showing a reasonable reason why the financial position of the company could not be inquired into within such period, the Court may, if it finds the reason reasonable, extend the period by an appropriate period.

(2) If the inquiry period is extended under sub-section (1), the concerned company shall be informed thereof.

15. Management of company during inquiry period:–

(1) Notwithstanding anything contained in the prevailing law, during the period of inquiry into insolvency proceedings, the management and regular transactions of the company shall be operated by the board of directors of the company under the general supervision of the inquiry officer.

(2) Notwithstanding anything contained in sub-section (1), if the inquiry officer submits a report to the Court that the board of directors of the company has not operated the company properly, the Court may, removing the board of directors, order the inquiry officer himself or herself to operate the management and regular transactions of the company.

(3) If the Court has ordered the inquiry officer under sub-section (2) to operate the management and regular transactions of the company, he or she shall operate the transactions accordingly.

(4) If any special transaction, such as the sale of the assets or business of the company, is required to be carried out while operating the regular transactions of the company under sub-section (3), he or she shall make an application to the Court for permission, stating the reason therefor, and if the Court makes an order granting permission accordingly, he or she may carry out such transaction.

[1](5) While making an application under sub-section (4), if fifty percent or more of the total property of the company, or property or assets, is required to be sold, the application shall be made along with a certified copy of the decision taken thereon by the meeting or group of creditors.

16. Director to submit report:–

A person holding the office of director of the company at the time when the Court makes an order under sub-section (3) of Section 10 to inquire into insolvency proceedings, or within a period of one year prior thereto, shall submit a report to the Court, in the prescribed format, on the financial position and transactions of the company up to the time he or she held office.

17. Power to raise loans:–

(1) If the inquiry officer considers that any amount is necessary to keep the company running or to operate the regular transactions of the company, he or she may raise a loan from any person, with or without providing the necessary security.

(2) The loan raised under sub-section (1) shall be deemed to be an amount spent during the period of inquiry into insolvency proceedings, and such amount shall be paid in the order of priority as provided in this Act.

Provided that if the security provided by the company for raising the loan has already been given to anyone by way of security, the order of priority of the claim over such security shall not be maintained, except where the inquiry officer has made an agreement therefor with the other person having a claim over it.

18. Inquiry officer to submit report:–

(1) The inquiry officer shall inquire into the financial and business position of the company and submit a report thereon to the Court within the inquiry period.

(2) The report referred to in sub-section (1) shall, in addition to other matters, set out the actual financial position of the company and the details obtained by the inquiry officer from the inquiry, and shall, determining any one of the matters referred to in sub-section

[1]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(1) of Section 13 together with his or her opinion and conclusion, also set out the grounds and reasons for such recommendation in the report.

(3) If the recommendation made under sub-section (2) has been submitted to the meeting of creditors, it shall also be stated whether or not the majority of the creditors present at such meeting accepted such recommendation.

(4) One copy each of the report submitted under sub-section (1) shall also be sent to the concerned company and the Office, and the concerned company and the Office shall arrange to keep the report so received in such a manner that the shareholders, directors and creditors of the company can inspect it.

19. Automatic stay:–

(1) Notwithstanding anything contained in the prevailing law, if the Court has made an order under sub-section (2) of Section 10 to commence insolvency proceedings in respect of any company, none of the following transactions may be carried out without the permission of the Court, and if such transactions are being carried out but have not been completed, such proceedings shall be automatically stayed:-

(a) Transferring or selling the shares of the company, or changing the status of shareholders,

(b) Transferring or selling any assets of the company, or pledging or mortgaging them in any manner,

(c) Attaching any assets of the company or taking possession of mortgaged property pursuant to any judgment or order,

(d) Taking back, by the lessor, any property taken on lease by the company, or taking any legal action in that respect,

(e) Paying a debt remaining to be paid or having become payable at the time when the Court made the order under sub-section (2) of Section 10 to commence insolvency proceedings, or providing a security therefor, and

(f) Transferring or taking back the amount of the fund of the company.

(2) Notwithstanding anything contained in sub-section (1), if any person makes an application to the Court showing the reason why he or she would suffer loss by reason of any transaction having been automatically stayed under that sub-section, and the Court finds that the contention of the applicant is reasonable and that it will not adversely affect the interests of the company or the creditors of the company, the Court may order that any transaction be carried out.

20. Prohibition on cutting off essential services:–

Notwithstanding anything contained in the prevailing law, if the Court has made an order under sub-section (2) of Section 10 to commence insolvency proceedings in respect of any company, no institution or person supplying electricity, drinking water, sewerage,

gas, [2]telecommunication services or other essential [3]goods or services being supplied under a contract for operating the regular business of the company shall, from the date of such order until the completion of such proceedings, stop or cut off the [4]goods or services being made available to such company without the permission of the Court.

20A. Power to breach contract[5]:–

Notwithstanding anything contained in the prevailing law, if the Court has made an order under sub-section (2) of Section 10 to commence insolvency proceedings in respect of any company and it appears that the liabilities of the company may increase unnecessarily if any contract relating to the supply of goods or services made by the company in the past is continued from the date of such order, the company or the liquidator may, with the permission of the Court, breach such contract.

21. Meeting of creditors to be convened:–

(1) In order to ascertain the views of the creditors of an insolvent company on the future plan of such company, the inquiry officer shall, before submitting his or her report to the Court, convene a meeting of such creditors to discuss the same, and every person who appears as a creditor of the company from the accounts and other records of the company shall also be invited to such meeting.

(2) Notice shall be given to every person appearing as a creditor under sub-section (1), giving at least seven days' time and specifying the place, date and time of the meeting and the matters to be discussed, and the notice of such meeting shall also be published at least twice in a national level daily newspaper.

(3) The notice under sub-section (2) may be given by letter, telex, telefax, e-mail or any other electronic means of communication that can be recorded.

(4) If any person other than those referred to in sub-section (1) shows any claim against the company in the capacity of a creditor, the inquiry officer may demand the evidence thereof and the detailed description of the claim against the company.

(5) The inquiry officer may reject the claim of a person who cannot provide the evidence or details under sub-section (4), and if the claim is so rejected, such person may not attend the meeting of creditors.

Provided that no person shall be deemed to be a creditor of the company merely by reason of his or her having participated in the meeting of creditors.

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[2]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[3]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[4]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.
[5]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(6) The meeting of creditors shall be chaired by the inquiry officer.

(7) The decision of the meeting of creditors shall be made by a simple majority. In case of a tie, the matter shall be determined by lottery. The inquiry officer may specify the voting procedure by fixing the voting rights of the creditors in proportion to the claims submitted on the debts to be paid immediately or payable by the company.

(8) The directors of the company or the officers invited by the inquiry officer may participate in the meeting of creditors.

Provided that they shall not be entitled to participate in the voting.

(9) No question may be raised in any court in respect of the meeting of creditors and the acts performed by it, except where an interested person has made an application to the Court showing the reasons and grounds for which he or she has suffered injustice in the meeting of creditors.

22. Power of Court to make order:–

(1) The Court may, if it deems appropriate, issue any of the following orders within seven days after receiving the report submitted by the inquiry officer under sub-section (1) of Section 18, the resolution passed by the meeting of creditors, or the restructuring programme submitted by the company or any other resolution passed:-

(a) To liquidate the company immediately,

(b) To implement the restructuring programme of the company,

(c) If there is a possibility of improvement without immediately liquidating the company, to wait throughout the period specified by the Court,

(d) To extend the period of insolvency proceedings as specified by the Court for making further inquiry and submitting a report, or

(e) To quash the order issued under sub-section (2) of Section 10.

(2) If an order has been made under sub-section (1) to liquidate the company or to implement the restructuring programme, the Court shall appoint any insolvency practitioner as the liquidator of the company or to operate the restructuring programme and order him or her to liquidate the company or implement the restructuring programme, and the person so appointed shall complete such work within the period specified by the Court at the time of his or her appointment.

(3) Notwithstanding anything contained elsewhere in this Section, if the inquiry officer makes an application for the issuance of any of the following orders, showing the reason that, in accordance with the agreement made between a company which has already become insolvent or which has reached a situation where it must be liquidated immediately and its creditors, or that, even though a company has become insolvent, a proposal of a restructuring programme prepared for its improvement can be considered in

the meeting of creditors to be convened under Chapter 4, and the Court deems it appropriate to issue such order, the Court may issue such order:-

(a) To terminate the inquiry into insolvency proceedings before the completion of that period,

(b) That the inquiry officer is not required to convene a meeting of creditors, or

(c) To liquidate the company or to restructure the company.

(4) If the Court deems it reasonable to issue any other order, except those mentioned in sub-section (1) or (3), it may also issue such order.

Chapter-4
Restructuring Programme of Company

23. Restructuring programme to be prepared:–

(1) If the Court has made an order under sub-section (2) of Section 22 to restructure any company, the restructuring manager shall prepare the restructuring programme of the company in writing.

(2) The programme prepared under sub-section (1) shall include the following programmes:-

(a) Changing the capital structure by capitalizing the debts of the company,

(b) Paying the claims of creditors by selling any part of the assets of the company,

(c) Changing the nature of the claims of the creditors of the company and issuing securities therefor,

(d) Making the creditors of the company participate in the capital investment by issuing shares in lieu of their claims,

(e) Merging the company with any other company,

(f) Changing the management of the company, or

(g) Doing any other necessary act which the Court deems appropriate for restructuring the company.

24. Meeting of creditors to be convened:–

(1) The restructuring manager appointed upon the order of the Court under sub-section (2) of Section 22 to restructure the company shall, within fifteen days after commencing his or her work, give notice to all the creditors of the company, by following the procedure of sub-sections (2) and (3) of Section 21, to submit their respective claims along with evidence, and shall also publish such notice at least twice in national level daily newspapers; in addition, such notice may also be posted on a website.

(2) All the creditors having any kind of debt claim against the company, with or without security, shall submit the details of their debt claims, along with the evidence proving such

claims, to the restructuring manager within fifteen days of the issuance of the notice under sub-section (1).

(3) The restructuring manager shall, within fifteen days of the receipt of the details of claims under sub-section (2), convene a meeting of the creditors by following the procedure of sub-sections (2) and (3) of Section 21, and while so convening the meeting, a copy of the restructuring programme shall be sent along with the same notice.

(4) The meeting convened under sub-section (3) shall be chaired by the restructuring manager.

(5) The meeting of creditors may be conducted and adjourned as required.

Provided that such meeting may not be adjourned beyond the restructuring period without the order of the Court.

(6) The directors of the company may attend the meeting of creditors and answer the questions raised by the creditors in relation to the business and financial position of the company.

(7) The meeting of creditors convened under sub-section (3) shall discuss the details of the restructuring programme presented by the restructuring manager and, subject to sub-section (7) of Section 21, pass a resolution on any one of the following matters:-

(a) To accept the restructuring proposal submitted by the restructuring manager without any amendment or with amendment, or

(b) To liquidate the company immediately without accepting the proposal under clause (a).

[6](8) While voting on the resolution under sub-section (7), arrangements shall be made for unsecured creditors who have lent to the company without obtaining a mortgage to vote separately on the basis of the proportion of the debt lent by them or of the liabilities of the company.

Provided that a secured creditor shall not be entitled to vote.

(9) The restructuring programme passed and accepted under sub-section (7), or the resolution made to liquidate the company upon its rejection, shall be submitted to the Court for approval, and if the Court makes an order approving such resolution, it shall be implemented.

25. Report to be submitted by restructuring manager:–

(1) The restructuring manager shall, within the restructuring period, submit to the Court a report containing the details of the transactions, assets and financial position of the company and of the restructuring programme, if proposed.

[6]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(2) If a restructuring programme has been proposed, the report referred to in sub-section (1) shall set out the following matters in relation to such programme:-

(a) A brief description and analysis of the proposed programme,

(b) Details of the impact that may be caused on the creditors of the company if the proposed programme is implemented,

(c) Comparative details of the returns and impact that the creditors may receive if the company were liquidated immediately and if the restructuring programme is implemented, and

(d) A statement of opinion, with the conclusion of the restructuring manager, that the company will not become insolvent if the restructuring programme is implemented.

(3) The restructuring programme proposal prepared under sub-section (1) shall have no formal form and format, except the following:-

(a) Complete details of the programme to be implemented by the company in the future and written details of the relevant proposal,

(b) Details showing that the creditors of the company may receive greater benefit if the company is restructured without being liquidated immediately upon the implementation of the programme,

(c) Details showing that no part of the proposed programme is illegal or prohibited by the prevailing law,

(d) Details showing that the company will come out of insolvency, or will not become insolvent, if the programme is implemented.

(4) The programme prepared under this Section shall also include the details of the payment of the expenses incurred within the period of inquiry into insolvency proceedings or the restructuring period, and of the remuneration of the inquiry officer or the restructuring manager.

26. Information to be given if details of restructuring programme cannot be submitted:–

(1) If the details of the restructuring programme of the company cannot be submitted to the Court within the restructuring period, the restructuring manager shall make an application to the Court stating the reason therefor.

(2) If an application is received under sub-section (1), the Court may, if it deems reasonable, quash the order for restructuring and issue an order to liquidate the company.

27. Claim and objection against approved restructuring programme:–

(1) A creditor who disagrees with the restructuring programme proposal approved under sub-section (7) of Section 24 may, within seven days, make an application of claim and objection to the Court, stating the following grounds and reasons:-

(a) That the restructuring programme approved by majority in the meeting of creditors is not in conformity with the interests of the creditors other than the secured creditors,

(b) That serious irregularities were committed in convening or conducting the meeting of creditors and the programme approved by such meeting is not in favour of the interests of the creditors other than the secured creditors,

(c) That false or misleading information was given, or material information was concealed, in relation to the company or the restructuring programme of the company.

(2) If an application is received under sub-section (1), the Court shall order the company and the restructuring manager to submit a written statement thereon, giving a time limit of seven days.

(3) After the receipt of the written statement under sub-section (2), or after the expiry of the time limit for submitting the written statement, the Court shall hold a hearing on the application under sub-section (1), and if it finds the contention of the application well-founded, it shall quash and render inoperative the restructuring programme proposal passed by the meeting of creditors.

(4) If the resolution passed and approved by the meeting of creditors is quashed and rendered inoperative under sub-section (3), the Court shall order the immediate liquidation of the company.

(5) The concerned company and the restructuring manager shall be informed of the order issued under sub-section (3) or (4).

28. Consequence of approval of restructuring programme by Court:–

If the Court makes an order under sub-section (9) of Section 24 approving the restructuring programme passed by the meeting of creditors, such programme shall be binding on all the creditors of the company other than the secured creditors, and on the directors and shareholders of the company, and the restructuring period shall end from the same date.

29. Not to affect rights of secured creditors:–

(1) The restructuring programme passed by the meeting of creditors and approved by the Court under this Chapter shall not prevent a secured creditor from enforcing the security or carrying out transactions in any other manner, except in the following circumstances:-

(a) If the secured creditor has voted in favour of the restructuring programme, or has given his or her consent in any other manner so that such programme is acceptable to him or her, or

(b) If the Court has ordered that such programme shall be binding on the secured creditor.

(2) The Court may make an order under clause (b) of sub-section (1) if it is satisfied with the following matters:-

(a) If the enforcement by the secured creditor of the security obtained by him or her may fundamentally adversely affect the achievements to be made from the implementation of the restructuring programme,

(b) If the rights of the secured creditor over the security and the security will be adequately protected by such programme.

30. Not to affect rights of owner of property or lessor:–

(1) The restructuring programme passed by the meeting of creditors and approved by the Court under this Chapter shall not prevent the owner of any property used by or in the possession or enjoyment of the company, or, if such property has been taken on lease, the lessor, from exercising the right over, or taking back, such property, except in the following circumstances:-

(a) If the owner of such property or the lessor has voted in favour of such programme, or has given written consent in any other manner that such programme is acceptable to him or her,

(b) If the Court has ordered that such programme shall be binding on the owner of such property or the lessor.

(2) The Court may make an order under clause (b) of sub-section (1) if it is satisfied with the following matters:-

(a) If the taking back of such property by the owner of such property or the lessor would fundamentally adversely affect the achievements to be made from the implementation of the restructuring programme,

(b) If such property and the interests of the owner of such property or the lessor will be adequately protected under such restructuring programme.

31. Restructuring manager to operate company:–

(1) The restructuring manager shall operate the company throughout the period during which the restructuring period continues.

(2) While operating the company under sub-section (1), he or she may exercise the following powers:-

(a) Management and control of the business, property and transactions of the company,

(b) Termination or sale of any business or property of the company,

[7]Provided that if fifty percent or more of the property is to be terminated or sold, a decision thereon shall be obtained from the meeting or group of creditors.

(c) Exercise of any power which the company or its officers may perform or exercise.

(3) While exercising the powers under sub-section (2), the restructuring manager shall have the right to inspect all accounts, ledgers, books, records and documents of the company.

(4) The restructuring manager shall act in the capacity of an agent of the company while performing the functions or exercising the powers under this Section.

(5) The directors and other officers of the company shall, if so demanded by the restructuring manager, provide any kind of assistance required for the management and control of the company.

(6) The directors and officers of the company shall not exercise any power or perform any function of the company in the capacity of a director or officer of the company without the written direction of the restructuring manager.

(7) The directors of the company shall provide the restructuring manager with information relating to the company and its business, property and transactions as demanded by him or her.

32. Power of restructuring manager to raise loans:–

(1) If the restructuring manager, while acting as the manager of the company, considers that any amount is necessary to keep the company running or to operate the business and transactions of the company, he or she may raise a loan, with or without providing the property of the company as security.

(2) The amount of the loan raised under sub-section (1) and the conditions thereof shall be as provided in Section 17.

33. Extent of remission of debt of company:–

If, as per the consent of the creditors, the restructuring programme provides for remitting or altering any unsecured debt or any part thereof, such debt shall be remitted or altered according to such programme.

34. Implementation of restructuring programme:–

(1) The responsibility for implementing the restructuring programme passed by the meeting of creditors and approved by the Court under this Chapter shall lie with the company.

(2) The Court may designate the restructuring manager to supervise and manage the implementation of the programme referred to in sub-section (1).

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[7]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

[8](3) While implementing the restructuring programme under this Section, all unsecured creditors shall be treated equally.

35. Alteration and change in restructuring programme:–

(1) If, at the time of implementation of the restructuring programme, it appears that such programme cannot be implemented as it is, wholly or partly, but can be implemented with alteration or change, the restructuring manager shall convene a meeting of creditors to alter or change such programme.

(2) If the meeting convened under sub-section (1) passes a resolution to alter or change the programme, it shall be submitted to the Court for approval.

(3) If it appears reasonable to approve the programme submitted under sub-section (2) in the interests of the creditors, the Court may order accordingly.

(4) The programme approved under sub-section (3) shall be implemented as altered or changed.

36. Termination of restructuring programme:–

(1) The restructuring programme shall terminate if the company has implemented such programme, or if the Court orders its termination on the basis of an application made by the restructuring manager because the company could not implement it.

(2) If the Court has ordered the termination under sub-section (1) because the company could not implement the restructuring programme, it shall also order the liquidation of such company.

Chapter-5
Liquidation of Company

37. Liquidation upon order for liquidation of company:–

(1) If the Court has made an order under this Act to liquidate a company, the Court shall, at the time of making such order, make an order to appoint one liquidator from amongst the persons entitled to carry on insolvency practice.

(2) After the order is made under sub-section (1), the acts and proceedings for liquidating the company shall be deemed to have commenced.

38. Consequences of commencement of liquidation proceedings:–

(1) After the commencement of the acts and proceedings for liquidating any company, the following shall happen in respect of the following matters relating to such company:-

[8]Inserted by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(a) The directors and officers of the company being relieved of their offices, and the liquidator exercising all the powers to be exercised by the directors and officers of the company in relation to the management of such company,

(b) The liquidator taking all the assets, accounts and books of account of the company, except the property in the possession of a secured creditor, into his or her custody and control,

(c) The termination of the service of all the employees of the company appointed by the company, except where the liquidator has ordered otherwise.

(2) Except for the following matters, the provisions relating to automatic stay under Section 19 shall apply throughout the period during which the acts and proceedings of liquidation continue:-

(a) The enforcement of the right of a secured creditor to take possession under this Act, or

(b) The enforcement of the right of a lessor to take back the property taken on lease by the company under this Act.

39. Liquidation of company may be converted into restructuring programme:–

(1) If, on studying and inquiring into the business and assets of the company, the nature of the services or goods produced by the company and their market potential, the liquidator considers that a restructuring programme of the company may be passed and approved by the meeting of creditors, he or she may make an application to the Court, stating the reasons, seeking an order to suspend, for a definite period, the order relating to the liquidation of the company issued by the Court under this Act and to implement the restructuring programme under this Act.

(2) If the Court is satisfied with the contents of the application received under sub-section (1), it shall order the implementation of the restructuring programme, suspending the order for the liquidation of the company issued earlier for a specific period.

(3) If an order has been made under sub-section (2), such order shall be implemented under this Act.

40. Functions, duties and powers of liquidator:–

(1) In addition to the other provisions mentioned in this Act, the functions, duties and powers of the liquidator shall be as follows:-

(a) To conduct or defend any case or other legal proceedings on behalf of the company,

(b) To appoint employees to assist in the performance of his or her functions,

(c) To demand from the shareholders the payment of the instalments due on the shares of the company, if not paid,

(d) To do or cause to be done all acts and to execute all deeds or documents required to be done on behalf of and in the name of the company, and to use the seal of the company for that purpose,

(e) To obtain loans by providing the assets of the company as security,

(f) To sell any property or terminate any contract or liability, if the liquidator considers that the company will benefit from selling such property or terminating such contract or liability,

(g) To make a compromise with any creditor of the company, or with any person claiming to be a creditor of the company, in relation to the claim made by him or her,

(h) To make a compromise with any person in relation to any debt, liability or other claim that the company may make against such person,

(i) To sell the assets of the company and distribute the amount received therefrom under this Act, and

(j) To do and cause to be done all other acts and proceedings necessary to liquidate the company.

(2) In addition to what is mentioned in sub-section (1), it shall be the duty of the liquidator to do the following acts:-

(a) To collect, protect and sell the assets of the company,

(b) To inquire into the business and financial condition of the company,

(c) To accept the debt claims of creditors subject to Chapter-6,

(d) To distribute the amount received from the sale of the assets of the company subject to the order of priority determined under this Act for the payment of liabilities,

(e) To convene and conduct meetings of creditors,

(f) To prepare reports of his or her acts and proceedings and submit them to the Court and the Office,

(g) To facilitate the cancellation of the registration of the company, and

(h) To inquire into whether or not any director, employee or shareholder of the company or any person has committed fraud, cheating or deception against the company or its creditors, and to initiate necessary legal action against such persons.

(3) In addition to the functions, duties and powers mentioned in sub-section (1) or (2), the liquidator may also perform other functions, such as taking back any property of the company used by anyone, or initiating legal proceedings to recover such property or the amount from a voided transaction.

Provided that he or she shall not incur any expense that cannot be paid from the assets of the company.

(4) The liquidator shall exercise such powers and perform such duties even if the company does not have sufficient funds to pay the expenses or remuneration required by the liquidator for exercising the powers or performing the duties mentioned in sub-section (1), (2) or (3).

(5) If the liquidator faces any difficulty in exercising any power or performing any duty under this Chapter, he or she may make an application to the Court for the removal thereof, and if such application is received, the Court may, if it deems reasonable, remove such difficulty.

41. Creditor may provide money:–

(1) If any act or proceeding to be carried out by a company under liquidation may be in the interest of or benefit the creditors, a creditor of such company may provide an amount by way of loan to the liquidator for carrying out such act.

(2) The amount taken under sub-section (1) shall be repaid only from the amount received from such act or proceeding.

(3) Any creditor may make an application to the Court for an order to pay the amount of the debt claim accepted by the company also from the amount received under sub-section (1).

(4) If an application is made under sub-section (3) and the Court considers it reasonable that such debt be paid from the amount referred to in sub-section (1), it may make an order for that purpose.

42. Report to be submitted by liquidator:–

(1) The liquidator shall, within three months from the date of his or her appointment, prepare a progress report of the acts and proceedings carried out in relation to the liquidation of the company and submit it to the Court and the Office.

(2) The report submitted under sub-section (1) shall, in addition to other matters, set out the following matters:-

(a) The amount of the issued capital, the capital subscribed by the shareholders and the paid-up capital of the company,

(b) The estimated amount of the assets and liabilities of the company,

(c) The opinion of the liquidator on the causes of the financial failure of the company,

(d) The opinion of the liquidator as to whether further inquiry is necessary in relation to the promotion or incorporation of the company or the acts and proceedings of the company and its directors and shareholders,

(e) Other necessary matters as deemed appropriate by the liquidator.

43. Meeting of creditors to be convened:–

(1) The liquidator shall convene a meeting of the creditors of the company before preparing his or her report under Section 42 and thereafter from time to time as required.

(2) While convening a meeting of creditors under sub-section (1), it shall be convened by following the procedure of sub-sections (2) and (3) of Section 21.

(3) The meeting of creditors shall be chaired by the liquidator.

(4) The provisions of Section 24 shall apply, with necessary modifications, in respect of other matters relating to the meeting of creditors.

44. Committee of creditors may be formed:–

(1) The meeting of creditors held under Section 43 may form a committee of creditors consisting of a maximum of five members to assist the liquidator in relation to the liquidation of the company.

(2) The scope of work, the procedure relating to meetings and other necessary matters of the committee formed under sub-section (1) shall be as specified by the meeting of creditors at the time of forming such committee.

45. Time limit to be given for submission of debt claims:–

(1) The liquidator shall give a notice of a time limit of fifteen days to all the creditors of the company under liquidation to submit their debt claims in the prescribed format.

(2) The notice given under sub-section (1) shall be published at least twice in a national level newspaper.

(3) The liquidator may not accept the claims of the creditors who have not submitted their claims within the time limit referred to in sub-section (1).

Provided that if an application is made to the liquidator showing a reasonable reason for not being able to submit the claim within such time limit, he or she may accept such claim if the contents of such application are reasonable.

46. Power of Court to make order in relation to liquidation of company:–

Notwithstanding anything contained elsewhere in this Chapter, the Court may, at any time, issue the following orders in respect of any company in the process of liquidation:-

(a) To suspend or terminate the liquidation of the company,

(b) To require the assets of the company to be handed over to the liquidator,

(c) To pay the amount of the instalments called,

(d) To stop the enjoyment of any property of the company if it is suspected that anyone is enjoying such property, or

(e) To arrest any person causing obstruction to the liquidator in the performance of his or her functions and duties or the exercise of his or her powers.

47. Registration of company to be cancelled:–

The liquidator appointed to liquidate any company under this Chapter shall, while liquidating the company, cancel the registration of the company by following the procedure determined in this Act or other prevailing law.

Chapter-6
Claims of Creditors and Mode of Payment

48. Creditors to submit claims:–

(1) A creditor of an insolvent company shall submit, within the time limit specified by the restructuring manager or the liquidator, a claim for the debt remaining to be paid or payable by such company, in the prescribed format.

(2) While submitting the claim under sub-section (1), the creditor shall also submit any evidence substantiating such claim, if so demanded by the restructuring manager or the liquidator.

(3) The restructuring manager or the liquidator may, upon inquiry, accept or reject, wholly or partly, the claim submitted under sub-section (2).

(4) If the restructuring manager or the liquidator rejects the debt claim wholly or partly under sub-section (3), written information thereof, along with the reasons, shall be given to the creditor submitting the claim within seven days.

(5) A creditor who is not satisfied with the information received under sub-section (4) may, within fifteen days, make an application to the Appellate Court for review.

(6) A foreign creditor who has lent to the company in accordance with the prevailing law may also submit a claim under this Section if he or she has a debt claim against the company.

49. Claim for interest:–

If the insolvent company has taken the debt from the creditor on the condition of paying interest in accordance with the contract concluded at the time of taking the debt, such interest may also be included in the claim made under sub-section (1) of Section 48.

Provided that no claim may be made for interest after the date on which the Court orders the liquidation of the company or the implementation of the restructuring programme of the company.

50. Claims for undetermined or contingent liabilities:–

(1) In addition to what is mentioned in Section 48, a claim for a liability the amount of which has not been determined, arising from acts such as loss caused by reason of the insolvent company not complying with or breaching any contract, compensation to be paid, or the creation of any other civil liability, or a claim for a contingent liability where the liability of the company has not yet been established because the debtor has not

discharged the liability under a guarantee given by the company under any guarantee agreement, may be submitted under sub-section (1) of Section 48.

(2) If a claim is received under sub-section (1), the restructuring manager or the liquidator shall accept or reject such claim under sub-section (3) of Section 48 and give notice under sub-section (4) of the same Section.

(3) If such claim is accepted under sub-section (2), the restructuring manager or the liquidator shall also determine the estimated amount of such claim.

(4) Notwithstanding anything contained in sub-section (3), the restructuring manager or the liquidator may make an application to the Court for determining the amount of such claim, and if such application is received, the Court shall determine the estimated amount of such claim.

(5) A person who is not satisfied with the rejection of the claim under sub-section (2), or with the estimated amount of such claim determined under sub-section (3), may file a complaint with the Court within fifteen days of receipt of the notice thereof.

51. Immature claims:–

The restructuring manager or the liquidator may, as prescribed, allow a discount on an immature debt claim against the company the time for payment of which has not yet arrived.

52. Claims involving foreign currency:–

A claim for a debt or other liability in foreign currency under this Act shall be calculated in Nepali currency and paid according to the exchange rate fixed by the Nepal Rastra Bank on the date of the application made to the Court for the liquidation, insolvency or restructuring of the company.

53. Adjustment of debts:–

(1) If there have been other transactions between an insolvent company and a creditor making a debt claim against such company, the debt or such debt claim or transaction shall be adjusted as follows:-

(a) Determining the amount remaining to be paid by one party to the other party,

(b) Deducting the amount to be paid by one party to the other from the amount determined under clause (a),

(c) Establishing only the amount remaining after the deduction under clause (b) as the claim for the amount of debt to be paid by the company.

(2) Notwithstanding anything contained in sub-section (1), a person who lends to or borrows from a company at a time when he or she knew, or had reasonable cause to know, that the company had already become insolvent shall not be entitled to claim the deduction

of the amount remaining to be received by him or her from the company from the amount to be paid by him or her to the company.

Explanation: For the purpose of this Section, "company which has already become insolvent" means a company in a situation where an application has been registered in the Court for the restructuring or liquidation of the company.

54. Secured creditor may make claim:–

(1) A secured creditor may, at any time, make a debt claim against the company, and the restructuring manager or the liquidator may accept or reject such claim under sub-section (3) of Section 48.

(2) The amount to be claimed under sub-section (1) shall be limited only to the difference between the amount obtained from the market value of the property held as security and the amount remaining to be paid to the secured creditor by the company.

(3) If a dispute arises between the secured creditor and the insolvent company in respect of the amount of difference between the value of the secured property and the amount remaining to be paid under sub-section (2), the party not satisfied on that matter may make an application to the Court, and the Court may, upon considering the application so made, determine such amount of difference.

55. Claim of shareholder:–

If any creditor who is also a shareholder of the insolvent company makes a claim against the company, and he or she has not paid the instalment amount to be paid for the shares of the company, his or her claim shall not be accepted up to the probable amount required to be so paid, if the situation for paying such amount has already arisen or may arise.

56. Deemed to be creditor if debt is accepted:–

(1) If the debt claim of a person making a claim against an insolvent company is accepted under this Chapter, he or she shall obtain the status of a creditor.

(2) The person obtaining the status referred to in sub-section (1) shall obtain the right to participate in the meeting of creditors, to vote to the extent of the accepted debt claim and to receive payment of the amount of debt under this Act.

57. Order of payment of liabilities:–

(1) While settling the liabilities of a company under liquidation under this Act, the liquidator shall pay the liabilities out of the available amount on the basis of the following order of priority:-

(a) All expenses and remuneration relating to the work performed by the interim administrator appointed under sub-section (4) of Section 11,

(b) Other amounts required to be settled under Chapter-2,

(c) All expenses and remuneration relating to the work performed by the inquiry officer appointed under sub-sections (3) and (4) of Section 10,

(d) All expenses and remuneration relating to the work performed by the restructuring manager appointed under sub-section (2) of Section 22,

(e) All loans of the company raised during the period of inquiry into insolvency proceedings,

(f) All loans of the company raised during the period of the restructuring programme of the company,

(g) Expenses and remuneration relating to the work performed by the liquidator appointed under sub-section (1) of Section 37,

(h) The amount of wages and remuneration remaining to be paid to the workers or employees of the company at the time when the order to liquidate or restructure the company was made under this Act,

Provided that a director of the company shall not be entitled to such amount.

(i) The amount of home leave, sick leave, gratuity and, if there is a facility of employees' provident fund, the amount thereof remaining to be paid to the workers or employees of the company at the time when the order to liquidate or restructure the company was made,

Provided that a director of the company shall not be entitled to such amount.

(j) All other amounts of debt claims accepted by the liquidator.

(2) Each liability falling under the same order of priority under sub-section (1) shall be treated equally, and all the liabilities falling under such order shall be fully settled.

Provided that if the amount is insufficient to fully settle such liabilities, they shall be settled on a proportionate basis.

(3) If any liability of the company has been insured, the amount under such insurance contract shall be paid to the person entitled thereto.

(4) If the liabilities under sub-section (1), (2) or (3) have been fully settled, the liquidator shall, out of the remaining amount, pay the interest accruing on the debts from the date of the order to liquidate or restructure the company until the date of acceptance of the debt claim, and the amount remaining after such payment shall be distributed to the preference shareholders of the company, and the amount remaining thereafter shall be distributed to the other shareholders on a proportionate basis.

58. Mode of settlement of liabilities:–

The liquidator may, while settling the liabilities of the creditors under this Chapter, settle them at once or in instalments.

Chapter-7
Voidable Transactions

59. Voidable transactions:–

(1) If any company has become insolvent, the following transactions shall be voidable:-

(a) Preferential transactions made within six months immediately before the commencement of insolvency proceedings, or within a period of six months after the commencement of such proceedings,

(b) Preferential transactions made with a related person of the company within one year immediately before the commencement of insolvency proceedings, or within a period of one year after the commencement of such proceedings,

Explanation: For the purposes of clauses (a) and (b), "preferential transaction" means a transaction made in such a manner that a creditor, other than a secured creditor, receives a payment greater than the amount he or she could have received if he or she had made a claim against the company at the time of liquidation of the company.

(c) Any transaction made at an undervalue within one year immediately before the commencement of insolvency proceedings, or within a period of one year after the commencement of such proceedings, as a result of which the company became insolvent, or other transactions made at an undervalue after the commencement of insolvency proceedings,

Explanation: For the purpose of this clause, "transaction at an undervalue" means a transaction in which the company received a value lower than the prevailing market value, or did not receive any value, for the consideration given by the company to the other party to the transaction.

(d) Fraudulent transactions made within two years immediately before the commencement of insolvency proceedings, or within a period of two years after the commencement of such proceedings.

Explanation: For the purpose of this clause, "fraudulent transaction" means a transaction made in relation to the property of the company with the mala fide intention of defrauding the creditors of the company, delaying payment or adversely affecting the rights of creditors.

(2) The liquidator shall make an application to the Court to have the transactions referred to in sub-section (1) voided.

(3) While making an application under sub-section (2), the liquidator shall prove that the company was insolvent at the time of such transactions or that the company became insolvent by reason of such transactions.

(4) If it appears that a related person of the company is involved in the proceedings relating to the voiding of a voidable transaction, it shall be presumed that the company was insolvent at the time of such transaction or became insolvent by reason thereof.

60. Defence in voidable transactions:–

A related person may prove the following matters in his or her defence:-

(a) That the company was not insolvent at the time of the transaction,

(b) That he or she did not take any benefit from the transaction,

(c) That, at the time of taking any benefit from the transaction, there was no reasonable cause to suspect that the company had become insolvent or might become insolvent by reason of such transaction.

61. Powers of Court in relation to voidable transactions:–

(1) If the Court is satisfied that any transaction is voidable, the Court may issue the following orders:-

(a) To order the concerned person to pay to the liquidator all or part of the amount paid by the company in relation to such transaction,

(b) To order the concerned person to hand over to the liquidator the assets so transacted or the value equivalent thereto,

(c) To order the release or discharge, wholly or partly, of the debt taken by the company through such transaction, or of the security or guarantee given by the company for such debt,

(d) To order that any waiver, surrender or agreement made between the company and another person as a result of a voidable transaction be void, ineffective or unenforceable.

(2) If any further order is required to be made to implement the order under sub-section (1), the Court may also make such order.

62. Amount paid in consideration of preferential transaction may be claimed:–

A creditor who has paid any amount to the liquidator in relation to a preferential transaction made with the company, pursuant to an order of the Court or for any other reason, may submit a debt claim for such amount against the company under liquidation.

Chapter-8
Insolvency Practice, and Regulation and Administration Thereof

63. Prohibition on carrying on insolvency practice without licence:–

(1) No one shall carry on insolvency practice without obtaining a licence from the Office under this Act.

(2) No person who has not obtained the licence under sub-section (1) shall be appointed as an inquiry officer, restructuring manager or liquidator in the course of carrying out insolvency proceedings under this Act. If anyone other than a licensed person is appointed as an inquiry officer, restructuring manager or liquidator, such appointment shall automatically be void.

64. Application to be made for licence:–

(1) A person who wishes to obtain the licence under sub-section (1) of Section 63 shall make an application to the Office in the prescribed format, along with the prescribed fee.

(2) The person making an application under sub-section (1) shall fulfil the following conditions:-

(a) Having completed thirty-five years of age,

(b) Being a member of the prescribed professional institution,

(c) Having obtained at least a bachelor's degree in commercial law, commerce, management or accounting, or in such other subject as prescribed, from a recognized university,

(d) Residing in the State of Nepal,

(e) Being competent to carry on insolvency practice under this Act.

(3) If an application is received under sub-section (1) and the Office finds it appropriate to grant permission to carry on insolvency practice, it shall issue a licence in the prescribed format.

(4) The licence issued under sub-section (3) shall be renewed as prescribed.

65. Insolvency Administration Office to be established:–

(1) After the commencement of this Act, the Nepal Government shall establish the Insolvency Administration Office by publishing a notice in the Nepal Gazette. Until such Office is established, the Nepal Government may designate any of its offices to perform the functions of the Insolvency Administration Office.

(2) The Office established under sub-section (1) shall perform the following functions:-

(a) To administer insolvency practice,

(b) To register insolvency practitioners, and to issue and renew licences,

(c) To carry out the general supervision of the management of insolvent companies,

(d) To investigate the professional conduct to be observed by insolvency practitioners,

(e) To maintain records of each insolvent company, and

(f) To perform such other functions as prescribed.

66. Licence may be suspended or cancelled:–

(1) If a complaint is filed that a person licensed under sub-section (3) of Section 64 has not performed work in accordance with the licence, or if the Office makes a report, or if the Court itself so believes, the Court may initiate proceedings thereon and order the suspension or cancellation of the licence of such person.

(2) Such person shall be given an opportunity to defend himself or herself before an order is made under sub-section (1).

(3) The Court may make an order under sub-section (1) on the following grounds:-

(a) If the licensed person does any act which is not to be done under this Act,

(b) If the licensed person performs negligently, or fails to perform properly, any act required to be done under this Act,

(c) If the person licensed to carry on insolvency practice himself or herself becomes insolvent,

(d) If the person licensed to carry on insolvency practice is convicted by a court of the offence of corruption, cheating or forgery.

67. Vacancy to be filled by Court:–

If the licence of a restructuring manager or liquidator appointed under this Act is suspended or cancelled under sub-section (1) of Section 66, or if his or her office falls vacant for any other reason, the Court may, by completing the procedure followed at the time of the initial appointment, order the appointment of any other person qualified under this Act.

68. Remuneration:–

(1) The remuneration of the inquiry officer, restructuring manager or liquidator appointed under this Act shall be as determined by the meeting of creditors from time to time.

(2) If the remuneration cannot be determined under sub-section (1), the Court may fix such remuneration on the basis of the report of the Office.

69. Separate account to be opened:–

(1) The restructuring manager or liquidator appointed under this Act shall, while carrying out insolvency proceedings under this Act, open and operate a separate bank account for each company for which he or she has been appointed.

(2) All amounts received by him or her shall be deposited in the bank account opened under sub-section (1).

(3) The savings amount deposited in the bank account opened under sub-section (1) shall be invested only in the prescribed sectors.

(4) In addition to what is mentioned in sub-section (1), the restructuring manager or liquidator shall maintain other accounts and books of account showing full and true details

of the insolvency proceedings of each insolvent company, and shall submit the details of such books of account to the Court or the Office as required.

(5) The restructuring manager or liquidator shall, after performing his or her duties, have the accounts and books of account maintained by him or her under this Section and the details thereof audited in accordance with law and hand them over to the Office.

70. Removal by order of Court:–

(1) If a complaint is filed that a restructuring manager or liquidator appointed under this Act has not acted in accordance with this Act while carrying out the insolvency proceedings of any company assigned to him or her, or if his or her conduct is contrary to this Act, the Court may order his or her removal.

(2) The concerned person shall not be deprived of an opportunity to defend himself or herself before an order is made under sub-section (1).

71. Notice or information to be provided[9]:–

If the Court, the Office or any creditor demands any notice or information in relation to the implementation of the restructuring programme of a company under this Act, or any decision made or act or proceeding carried out in relation to insolvency, or the financial transactions of the company, the concerned inquiry officer, restructuring manager or liquidator shall provide such notice or information to the concerned Court, Office or creditor without delay.

Chapter-9
Miscellaneous

72. Offences and punishment:–

(1) If anyone commits or causes to be committed any of the following acts, he or she shall be deemed to have committed an offence under this Act:-

(a) If a person holding the office of director of a company does not submit to the Court the report on the financial position and transactions of the company in the prescribed format under Section 16,

(b) If anyone carries on insolvency practice without obtaining a licence from the Office under this Act,

(c) If a director of a company knowingly conceals the fact that the company has become or is about to become insolvent,

(d) If an insolvency practitioner does not perform in good faith the acts required to be performed by him or her under this Act, or

[9]Amended by the Act Amending Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(e) If a director, employee or shareholder of a company or any person commits fraud, cheating or deception against the company or its creditors.

(2) The Court may impose a fine of up to fifty thousand rupees on a director who commits the offence referred to in clause (a) of sub-section (1).

(3) The Court may impose a fine from ten thousand rupees to fifty thousand rupees on a person who commits the offence referred to in clause (b) of sub-section (1).

(4) A director who commits the offence referred to in clause (c) of sub-section (1) shall be liable to a fine of up to two lakh rupees, and such fine shall be paid by the director personally.

(5) If any loss is caused to the company, creditor or concerned party by reason of an insolvency practitioner not performing in good faith the act required to be performed by him or her as referred to in clause (d) of sub-section (1), compensation for such loss shall be recovered from him or her, and he or she may be liable to a fine of up to five lakh rupees.

(6) The Court may, recovering the claimed amount, impose an imprisonment from one year to two years and a fine from one lakh to five lakh rupees on a director, employee, shareholder or any person who commits the offence referred to in clause (e) of sub-section (1).

73. Cases may be filed:–

If it appears that an offence under Section 72 has been committed, the liquidator, the Office or the concerned party may file a case in the concerned court along with the grounds thereof.

74. Recovery of expenses and compensation:–

(1) If any person files an appeal in the concerned court against an order or decision made by the Court in relation to the insolvency proceedings commenced under this Act, and the order or decision of the Court is upheld at the appellate level as well, the other party shall be entitled to recover from the appellant all the expenses borne by it in the course of such proceedings.

(2) If it appears that any loss or damage has been caused to the concerned company or its creditors or shareholders by reason of the insolvency proceedings being prolonged because any person initiated the proceedings under sub-section (1), the Court may also cause compensation for the actual loss or damage to be recovered from such person.

75. Power to frame Rules:–

The Nepal Government may frame necessary Rules to implement the objectives of this Act.

76. Power to frame directives:–

The Office may frame necessary directives to facilitate the acts and proceedings relating to insolvency.

77. Consequences of the Insolvency Ordinance becoming inoperative:–

Unless a different intention appears, the Insolvency Ordinance, 2062 having become inoperative shall not,-

(a) Revive anything not in force or existing at the time when such Ordinance became inoperative,

(b) Affect anything in force under such Ordinance or any act duly done or anything suffered thereunder before that time,

(c) Affect any right, privilege, duty or liability acquired, accrued or incurred under such Ordinance,

(d) Affect any penalty, punishment or forfeiture imposed under such Ordinance,

(e) Affect any action or remedy taken in respect of any such right, privilege, duty, liability or penalty mentioned above, and any such legal proceeding or remedy may be instituted, continued or enforced as if such Ordinance were in force.